4.3 LIMITED COMPANIES

MARKING SCHEME

1990/CE/II/07 A	1999/CE/II/22 A	2010/CE/II/22 B (78%)	1997/CE/II/18 A	2009/CE/II/20 D (29%)
1991/CE/II/16 C	2000/CE/II/21 D	2012/DSE/I/09 B (39%)	1998/CE/II/18 B	2009/CE/II/22 D (61%)
1993/CE/II/10 D	2001/CE/II/18 B	2015/DSE/I/07 B (74%)	2002/CE/II/17 D (59%)	2010/CE/II/23 C (55%)
1993/CE/II/13 B	2002/CE/II/21 C (82%)	1990/CE/II/14 D	2002/CE/II/18 C (76%)	2014/DSE/I/07 D (71%)
1994/CE/II/24 B	2003/CE/II/19 C (60%)	1992/CE/II/18 C	2003/CE/II/22 D (73%)	2017/DSE/I/06 A (84%)
1994/CE/II/25 A	2005/CE/II/20 A (67%)	1993/CE/II/03 D	2004/CE/II/23 A (65%)	2019/DSE/I/07 A
1995/CE/II/24 B	2006/CE/II/20 A (41%)	1993/CE/II/07 B	2005/CE/II/21 D (74%)	2020/DSE/I/4 D
1995/CE/II/25 C	2007/CE/II/22 A (29%)	1993/CE/II/19 C	2006/CE/II/22 B (51%)	2025/DSE/I/32 C
1996/CE/II/57 A	2008/CE/II/20 B (75%)	1996/CE/II/20 A	2007/CE/II/21 A (64%)	
1997/CE/II/16 C	2009/CE/II/23 D (70%)	1996/CE/II/21 D	2008/CE/II/21 D (69%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1992/CE/I/3(c)(ii)
- shares are freely transferable
- no upper limit on the number of shareholders
- financial accounts needed to be disclosed to the public
- can apply for listing in the stock market
- can raise fund from the public by issuing debentures (2@, max: 6)

[Mark the **FIRST THREE** points only.]

1996/CE/I/3(a)
Public limited company (1)

Advantages:
- limited liability: loss of an owner of the firm is confined to his investment in the firm. / lower risk in investment
- legal entity: the firm can act as a legal person to make contracts. to own properties and be sued. / profit or loss belongs to the firm, not the owners.
- Wider source of capital: can issue shares to the public.
- Easy transfer of shares: an investor can convert his shares into cash with ease.
- Professionals to run the business (separation of ownership and management and economies of scale)
- Lasting continuity: the firm's existence not affected by any investor's death withdrawal, etc. (2@, max: 4)

[Mark the **FIRST TWO** points only.]

2001/CE/I/11(c)
- wider source of capital because capital can be raised from the public
- shares are freely transferable, approval of the Board of Directors is not required
- wider scope of specialization (2@, max: 4)
[Mark the **FIRST TWO** points only.]

2002/CE/I/4
The liability of an owner of a firm is confined to the amount of his investment in the firm. (2)

2004/CE/I/4
- no upper limit of the number of shareholders
- free transfer of shares
- wider source of capital / can invite the public to be shareholders
- financial accounts are open to the public
[Remark: Mark the **FIRST THREE** points only.] (1@, max: 3)

2005/CE/I/3(a)
Public limited company. (1)

Advantages:
- wider source of capital
- limited liability
- legal entity
- shares freely transferable
- continuity of business (1@, max: 2)
[Mark the **FIRST TWO** points only.]

Disadvantages:
- financial accounts disclosed to the public
- higher profits tax rate
- higher risk of being taken over
- complicated set-up procedure (1@, max: 2)
[Mark the **FIRST TWO** points only.]

2009/CE/I/2
Public limited company. (1)

- independent legal status
- limited liability
- separation of ownership and management
- lasting continuity
- shares are freely transferrable
- issue shares to the public
- no upper limit on the number of shareholders
- required by law to disclose its financial status (2@, max: 4)
[Mark the **FIRST TWO** points only.]

2012/DSE/II/12(b)
Advantages:
- tighter control of ownership / more difficult to be taken over (1)
- no need to disclose the accounting information to public (1)

Disadvantages:
- cannot issue shares to general public to raise capital (1)
- difficult to transfer its ownership (1)

2014/DSE/II/10

(c) Public limited company / listed company. (1)

(d) (i) In a partnership, any given owner cannot transfer his/her shares of ownership without the consent of other partners while in a public limited company, the shares are freely transferable. (2)

(ii) A partnership does not have independent legal status while a public limited company has an independent legal status. (2)

(e) People expected the birth rate to rise, resulting in an expected increase in future demand for the baby products. (1)
So Goodbaby International was expected to earn bigger profits and to distribute more dividends to its shareholders in the future. (2)
The expected increase in future dividends would raise the demand for the company's shares and thus its stock price. (1)

2015/DSE/II/11(a)

Advantage:
- lower risk of being taken over
- no need to disclose accounting information to the public (1@, max: 1)

Disadvantage:
- owners cannot freely transfer their stocks
- the firm cannot raise capital by issuing stocks to the general public (1@, max: 1)

[Mark the **FIRST** point only.]

2016/DSE/II/2(a)

Public limited company / listed company. (1)

2017/DSE/II/10(a)

- Shares of a listed company are freely transferrable while shares of a private limited company are not.
- A listed company is required to disclose its accounting information to the public while a private limited company is not.
- A listed company can issue shares and bonds to the general public while a private limited company cannot. (1@, max: 2)

[Mark the **FIRST TWO** points only.]

1994/CE/I/4

	Time deposit holder	Ordinary shareholder	
Name of return:	interest	dividends	(2)
Rate of return:	fixed rate	variable	(2)
Whether the return depends on the bank's business performance:	no	yes	(2)

1999/CE/I/4

Advantage:
- no interest burden / no redemption obligation (2)

Disadvantage:
- easier to be taken over (2)

2001/CE/I/10(c)(ii)

- no interest burden (1)
- no redemption obligation (1)

2012/DSE/II/10(a)(ii)

He can get interest return even if the company does not make any profit that year. (2)
Higher priority of getting paid than shareholders if the company is liquidated. (2)

2025/DSE/II/2(b)(Related to this topic)

(b) (i) Limited liability means that when a firm is liquidated, the liability of an owner of the firm is confined to the amount of his/her investment in the firm. (2)

(ii) Advantages of a private limited company over a public limited company:

- lower risk of being taken over as the transfer of ownership requires consent of other owners
- no need to disclose financial accounts to the public

1@ max: 2

[Mark the FIRST TWO points only.]